International Graduate Employability

A 2021–2027 Intelligence Brief

How U.S. policy change is reshaping enrollment, employability, and the geography of opportunity

—

and what it means for enrollment and talent strategy.

Pine Careers Research

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Pine Careers

Executive summary

Between 2021 and 2024, U.S. international education staged one of the fastest recoveries in its history. Since early 2025, a sequence of federal and state policy changes has begun to reverse that trajectory along a measurable curve. This brief places the enrollment data, the employability indicators, and the state-by-state wage structure on a single 2021–2027 timeline, and draws out the practical implications for university enrollment planning and corporate talent strategy. It takes no political position; it reads the numbers.

- **The contribution is already declining.** International students contributed $42.9 billion and supported 355,000+ U.S. jobs in 2024–25 -a 2% decline from the 2023–24 record and the first drop since the pandemic (NAFSA / JB International, 2025).
- **The entering pipeline is contracting.** New international enrollment fell 17% in Fall 2025, with graduate down 12% and non-degree down 16% -an estimated $1.1 billion and ~23,000 jobs in one term (IIE Fall Snapshot, 2025).
- **The post-study pathway repriced.** A four-year visa cap, a $100,000 H-1B fee on new petitions filed for beneficiaries abroad, and tighter processing have raised the cost and uncertainty of the U.S. pathway (DHS, 2026; White House, Sep 2025).
- **The opportunity map is narrowing.** Opportunity is concentrating in a handful of high-wage states while compressing elsewhere -narrowing not just how many students come, but where in the U.S. they can build a career.

1. The recovery -and its reversal

The demand for a U.S. education proved highly elastic after the pandemic. Total international enrollment climbed from roughly 914,000 in 2020–21 to over 1.12 million in 2023–24, and economic contribution rose in step, from about $28 billion to a record $43.8 billion. The 2024–25 figures mark the inflection: the first contraction since COVID, ahead of the sharper Fall 2025 decline.

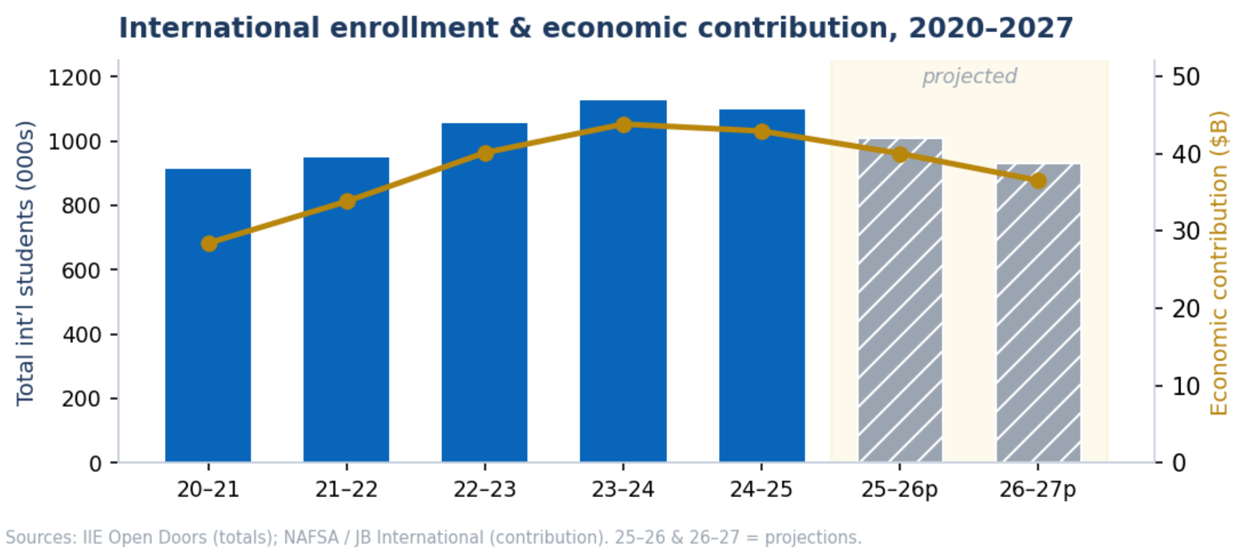

Figure 1 -International enrollment and economic contribution, 2020–2027 (2025–27 projected).

Academic year	Total int'l students*	Contribution**	Jobs**	Signal
2020–21	~914,000	~$28.4B	~307,000	Pandemic trough
2021–22	~949,000	~$33.8B	~335,000	Recovery begins
2022–23	~1,057,000	~$40.1B	~368,000	Rapid rebound
2023–24	~1,127,000	~$43.8B	~378,000	Record high
2024–25	~1,100,000	$42.9B	355,000	First dip (−2%)
Fall 2025	−17% new entrants	−$1.1B (term)	−23,000 (term)	Policy shock
2026–27 (proj.)	−10% to −28% new†	modeled decline	modeled decline	Base / downside

**IIE Open Doors (rounded). **NAFSA / JB International. †Scenario projections -see methodology.*

The pattern matters more than any single year: the recovery was broad-based and fast, which means the demand is real and responsive. That same responsiveness is now working in reverse -a system that rose quickly can fall quickly.

2. A timeline of change, 2021–2027

The reversal is not one event but a sequence. Read together, the milestones below explain the shape of the curve in Figure 1.

Figure 2 -Policy and signal timeline, 2021–2027.

In the headlines (2025–26)

- Sep 2025 -Presidential proclamation imposes a $100,000 fee on new H-1B petitions for beneficiaries abroad (White House; USCIS guidance).
- Aug 2025 -State Department reports more than 6,000 student-visa revocations during the year (CNN; NBC News).
- 2025–26 -Florida (HB 721) and Oklahoma (SB 2006 and related) advance caps and scholarship restrictions on international students (state legislatures).
- 2026 -DHS finalizes a four-year cap on student-visa duration, ending the 1978 “duration of status” policy (Inside Higher Ed; Higher Ed Dive).

State-level measures (verified from primary legislative sources):

State	Measure	Effect
Florida	HB 721	Cap foreign students at ≤10% of enrollment at public institutions.
Oklahoma	SB 2006	Bar state funds for scholarships/aid to students from “countries of particular concern.”
Oklahoma	SB 2050 / 1669	Restrict aid to students not lawfully present; mandate foreign-enrollment disclosure.
Multiple	Various (2025–26)	A dozen-plus bills propose caps, scholarship bans, or disclosure requirements.

Note: space is left for licensed news imagery alongside these developments in a print edition; this draft uses text attributions to remain rights-clean.

3. The economic signal

The clearest early indicator is spending. The move from the 2023–24 record to the Fall 2025 term loss is small in percentage terms but directionally decisive -the first sustained reversal in the series, concentrated in the higher-spending graduate and non-degree segments.

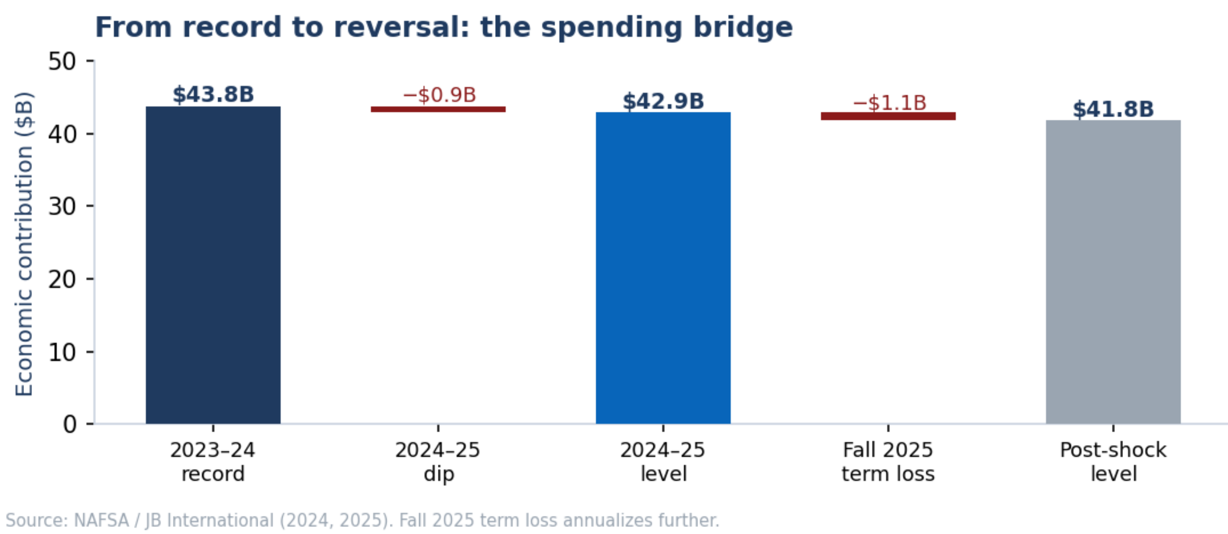

Figure 3 -The spending bridge from record (2023–24) to post-shock (Fall 2025).

A rise in Optional Practical Training (OPT) participation (+14% in 2025) softens the headline, but OPT reflects students already in the country converting to work. The 17% drop in new arrivals is the leading indicator; as smaller entering cohorts reach graduation, the OPT cushion deflates and the effect compounds over the following two to three years.

4. The employability squeeze

Students price in the exit, not just the entry. Three indicators define the post-study pathway, and all three moved against the graduate in 2025. H-1B approval odds had improved markedly after 2020, helping drive the recovery; selection in the lottery, however, compressed toward one-in-four as registrations rose; and the September 2025 fee reset employer appetite at the margin.

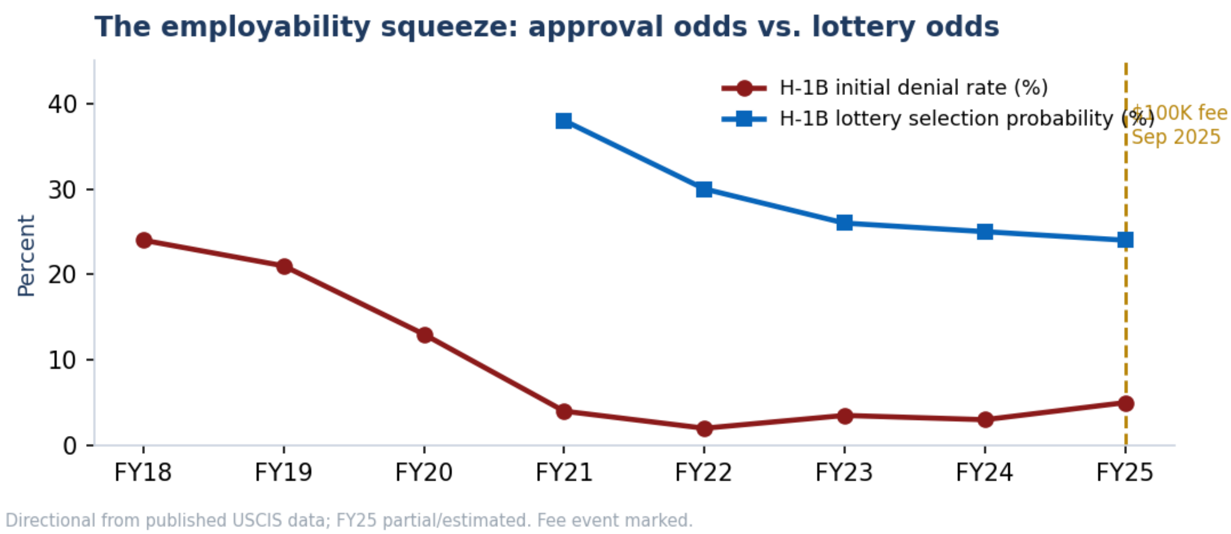

Figure 4 -H-1B initial denial rate vs. lottery selection probability, FY2018–FY2025.

Layered on top, a four-year visa cap and shorter grace period compress the runway between study and stable employment -precisely the window in which employability is realized. The combined effect is a narrower, costlier, and less certain path from campus to career, and it is the single factor prospective students weigh most heavily when comparing destinations.

5. The narrowing map: wages across the states

The employability effect is not uniform across the country; it is geographic. Employer-sponsored wages for skilled graduates -best proxied by DOL H-1B certified median wages -vary widely by state. Under a flat $100,000 sponsorship fee, that variation becomes decisive: the fee is readily absorbed against a $140,000 coastal salary but prohibitive against an offer in the $85,000–$95,000 range common in lower-cost states.

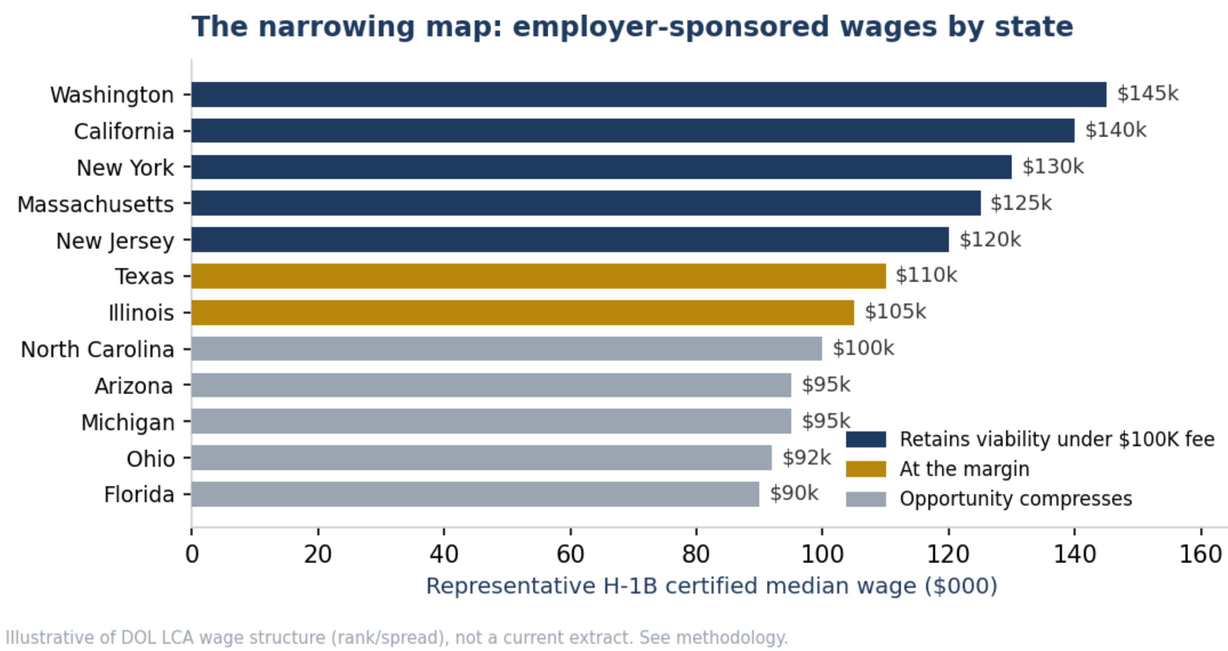

Figure 5 -Representative employer-sponsored wages by state, shaded by viability under the $100K-fee regime.

The result is compression: opportunity concentrating in five or six high-wage hubs and thinning in the mid-wage states where international graduates historically launched careers. For institutions outside those hubs, this is the most actionable finding in the brief -it reshapes where a degree can realistically lead, and therefore how it must be positioned to applicants.

6. The source-market picture -concentration risk

Who comes is as strategic as how many. In 2023–24, India overtook China as the largest source of international students, and the two together accounted for more than half of the U.S. total. That concentration cuts both ways: it has powered the recovery, but it also means a policy shock or a single-country downturn moves the whole system.

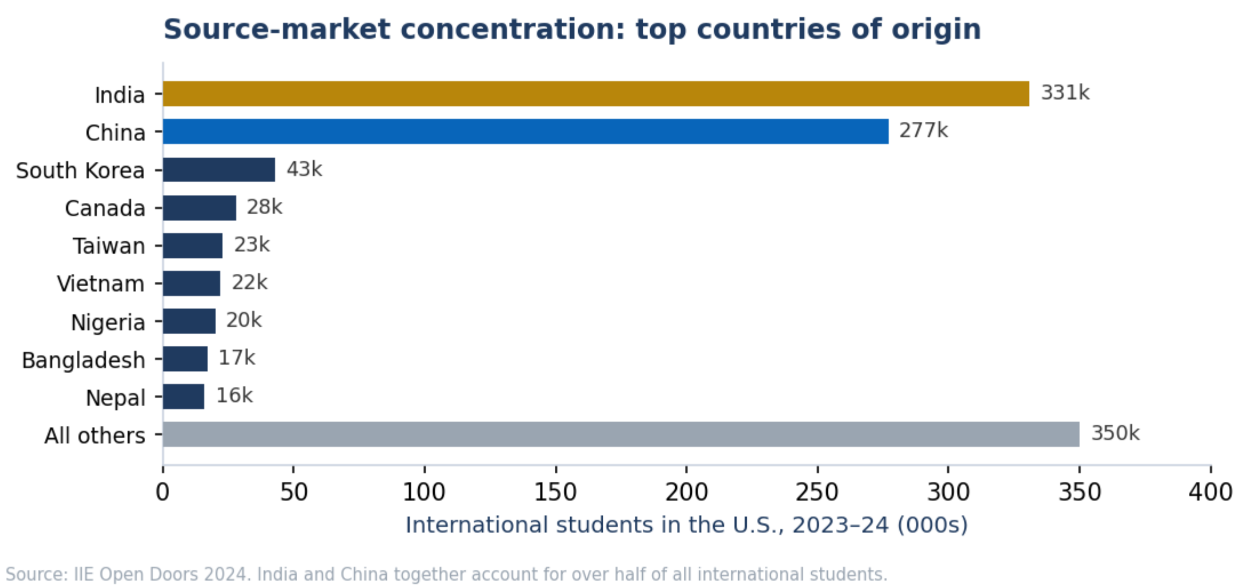

Figure 6 -Top countries of origin, 2023–24.

For an institution, the practical question is exposure: how much of your international enrollment -and its tuition margin -rests on one or two source markets, and how quickly could a visa or sentiment shift in those markets change your intake? Diversification is no longer a nicety; it is risk management. Institutions that broaden their source mix before the 2026–27 cycle will be more resilient than those relying on a narrow base.

7. The competitive context -where talent goes instead

Prospective students do not evaluate the U.S. in isolation; they compare the full pathway -cost, work rights, and certainty -against Canada, the U.K., and Australia. All four destinations are adjusting their settings, so the contest is increasingly about the post-study offer rather than the degree alone.

Destination	Post-study work window	Recent direction (2024–26)
United States	OPT 12 mo (+24 mo STEM)	$100K H-1B fee; 4-year visa cap; tighter processing
Canada	PGWP up to 3 years	Study-permit caps introduced 2024–25; field-of-study rules
United Kingdom	Graduate Route 2 years	Dependant restrictions (2024); route retained under review
Australia	Temporary Graduate 2–3 years	Higher visa fees and tighter criteria (2024–25)

Two implications follow. First, the competition for talent is intensifying everywhere, so a U.S. institution's relative position depends less on any single rule than on how its total pathway compares. Second, where the U.S. tightens the post-study route faster than peers, the marginal student -precisely the high-ability, mobile applicant institutions most want -is the first to reroute. As NAFSA put it, other countries are actively building incentives to capture students the U.S. deters (NAFSA, 2025).

8. What this means -for institutions and employers

For universities.

- Model exposure now, by program, source country, and destination state -the 2026–27 entering cohorts are being decided this cycle.
- Diversify source markets before concentration risk (a few countries, a few programs) meets a shrinking pipeline.
- Make graduate employability a measured, published metric -it is now a primary decision factor for applicants comparing the U.S. against Canada, the U.K., and Australia.
- Position programs realistically against the wage map -a degree's value proposition now depends on where its graduates can actually be sponsored.

For employers.

- Re-map sponsorship strategy geographically: the fee rewards concentrating high-value roles in high-wage states and penalizes distributed hiring.
- Engage graduate talent earlier (internships, OPT/STEM-OPT) to reduce reliance on the narrowing lottery-and-fee pathway.
- Track the source-market shift -as pipelines rebalance across countries, so does the profile of available early-career talent.

9. Methodology & data provenance

- **Verified:** 2024–25 contribution ($42.9B; 355,000 jobs), Fall 2025 declines (−17% new; −12% graduate; −16% non-degree; +14% OPT) and the $1.1B / 23,000-job term impact (NAFSA/JB International; IIE, 2025).
- **Verified:** Four-year visa cap and end of 1978 duration-of-status; $100,000 H-1B proclamation (Sep 19, 2025); 6,000+ revocations; Florida HB 721; Oklahoma SB 2006.
- **Illustrative / modeled:** Pre-2024 totals/contributions are published historical series, rounded. H-1B denial and lottery figures are directional from USCIS data. State wage figures are illustrative of DOL LCA structure (rank and spread), not a current extract; a production edition regenerates them from live DOL disclosure files. Competitor post-study windows are as of 2025 and evolving.
- **Projections:** 2026–2027 values are scenario projections from the Fall 2025 trajectory and announced effective dates -planning ranges, not forecasts.

10. How Pine Careers can help

Pine Careers maps verified, reachable alumni and graduate-outcome intelligence across 29 global markets, and maintains current institutional and employer datasets across the U.S., U.K., and Oceania. We can run your specific exposure -enrollment concentration, source-market risk, and destination-state employability - and benchmark your graduate outcomes against the trends in this brief.

Selected sources

- NAFSA / JB International -International students contributed $42.9B to the U.S. economy in 2024–25 (Nov 2025).
- IIE -Fall 2025 International Student Enrollment Snapshot (2025).
- U.S. DHS -Final rule limiting student-visa duration (2026).
- The White House / USCIS -H-1B proclamation and $100,000 fee (Sep 2025).
- U.S. State Department -6,000+ student-visa revocations (Aug 2025).
- Florida & Oklahoma legislatures -HB 721; SB 2006 and related bills (2025–26).

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